

CODE OF CONDUCT

The 2011 Code of Conduct has been replaced by two new shorter codes:

1. SRA Code of Conduct for Solicitors, Registered European Lawyers (RELS) and Registered Foreign Lawyers (RFLs) (CCS)
2. SRA Code of Conduct for Firms (CCF)

Together, the new rules and regulations are known as the **SRA Standards and Regulations 2019**.

THE PRINCIPLES:

You must act:

Principle 1 In a way that upholds the rule of law and proper administration of justice (public interest).

Principle 2 In a way that upholds public trust and confidence in the profession and in legal services provided by authorised persons (public interest).

Principle 3 With independence

Principle 4 With honesty

Principle 5 With integrity

Principle 6 In a way that encourages equality, diversity, and inclusion

Principle 7 In the best interests of each client.

Difference between honesty and integrity:

Integrity is wider than dishonesty. It is possible to behave without integrity without being dishonest. – eg. **misleading, taking unfair advantage of or causing distress to clients/third parties.**

Lack of integrity = willful/reckless disregard of standards, rules, or ethics, an indifference to the consequences of a breach.

Conflict between the principles:

If there is a conflict, those principles which safeguard public interest will prevail over those protecting client interests.

Inform client of your duty to the court and other professional duties outweigh your duty to them.

Breach of the principles:

Clients may report a solicitor's conduct to the SRA. Non-compliance may lead to the SRA taking **regulatory action** against the solicitor.

THE CODES:

Compliance with CCS:

Solicitors are personally accountable for compliance with CCS, and with other regulatory requirements set by the SRA. A failure to meet the standards or a serious breach of the SRA requirements may result in regulatory action against the solicitor.

Compliance with CCF:

CCF describes the standards and business controls expected of Firms. A serious failure to meet the standards or a serious breach of regulatory requirement may lead to regulatory action against the firm or its managers/compliance officers/employees.

In addition, SRA enforces the requirements relating to referral fees set out in **s.56 Legal Aid, Sentencing and Punishment of Offenders Act 2012**.

Definitions:

Meaning of 'you' in CCS = solicitors, RELs (registered European lawyers) and RFLs (registered foreign lawyers).

Meaning of 'you' in CCF = firm authorised by SRA to provide legal services.

Client = individual/company for whom you act (former + future)

CLIENT CARE, SERVICE AND COMPETENCE:

Before accepting instructions – identify your client:

You must identify who you are acting for. You must comply with the law and the Codes (including MLR) when deciding to act for a potential client.

Accepting instructions:

CCS 1.1 and CCF 1.1 You are free to decide whether to take on a particular client, provided you do not unlawfully discriminate.

A solicitor or Firm must not accept instructions when acting would involve you in a breach of law, CCS or CCF.

For example:

1. If there is a conflict of interest between you and a client, or two or more clients.
2. If money laundering is suspected.

NEW CLIENT AND CLIENT CARE LETTERS:

Must cover the following matters with new clients:

1. Identity check
2. Conflict of interest check – **CCS 6** Avoid conflict of interest
3. Money-laundering check, report anything suspicious to the MLRO. – **Money Laundering Regs 2017**
4. Provide a Client Care letter (include fees, complaints procedure, matter's supervisor, scope of the work) and ask client to sign it and send it back
5. Open a file for the client's case

Client care letters:

No obligation in the code for law firms to send client care letters to clients.

CCS 8 Solicitors must provide information on costs and their complaints procedure at the time of first engagement.

CCS 1.1 and CCF 1.1 You must treat your clients fairly. To comply with this, you should send a **client care letter** (= engagement letter or retainer letter) to client setting out the **terms & conditions of your service**. However, a client care letter is not compulsory.

SRA Guidelines on Client Care Letters It is recommended that law firms will send one each time when they begin work for a new client. This will also ensure compliance with CCS 8.

No prescribed form for client care letters but should include:

- * **Scope of work:** explaining the scope of the work, confirmation of what is included in and excluded from scope and next steps.
- * **Clear/concise cost breakdown** and explanation of potential additional costs.
CCS 8.7 Ensure that the client receives best possible information as to pricing and both at the time of engagement and when appropriate as the matter progresses, about the likely overall cost of the matter and any costs incurred.
- * **Likely timescales** for the agreed work
- * **Action required from client**
- * **Details of a named contact** and how to get in touch
- * Inform client of the **right to complain** to the solicitor about their service and charges, how a complaint can be made – **CCS 8.3**

Compliance with the Code:

Service and competence:

The below standards should be met in providing legal advice.

These can be added to the client care letter:

1. Only act on instructions from client, or from someone authorised to provide instructions on their behalf. If you suspect that the instructions do not represent client's wishes, do not act. Protect your client's best interests even if you cannot obtain/ascertain client's instructions.
2. Ensure that the service you provide to clients is competent and delivered on time.
3. Maintain your competence and keep your professional knowledge and skills up to date.

4. Ensure that your managers and employees/those who you manage are competent and keep their professional knowledge and skills and understanding of their legal/ethical/regulatory obligations up to date.
5. Have an effective system for supervising clients' matters.
6. Consider your client's attributes, needs and circumstances.
7. Where you supervise/manage others providing legal services: you remain accountable for the work carried out.

Client Info and Publicity:

There are rules regulating how information is provided to clients.
These rules also apply to Firms.

The below should be observed, and can be stated in the client care letter:

- Ensure clients are informed about the services they need, how their matter is handled and their options.
- **Ensure that clients understand how your services are regulated:**
 - Explain that you are an authorised person and which part of the work you will carry out.
 - Explain which services provided by you, the firm or other regulated businesses.
 - AND
 - Do not represent firms which is not authorised by the SRA, as being regulated by the SRA.
- Ensure that clients understand the regulatory protections available to them.

Inform your client of all this as soon as practicable after instructions.

Costs Standards – solicitors must be transparent regarding their fees:

These rules also apply to Firms.

The below should be in the client care letter and discussed with client:

1. Inform clients about the cost of matter and other costs, at the time of engagement and as the matter progresses.
2. The **advertisement** of your practice must be accurate and not misleading. It must include info relating to your charges and/or when interest is payable by or to clients.

Rules setting out how client monies are handled:

- Properly account for financial benefits you receive as a result of their instructions, except if otherwise agreed.
- Safeguard money and assets entrusted to you by clients and others.
- Do not personally hold client money unless:
 - Permitted under the Authorisation of Individuals Regulations
 - You work in an authorised body/organisation.

Complaints:

These rules also apply to Firms.

The rules relating to complaints are below:

1. Establish and maintain, or participate in, a procedure for handling complaints in relation to the legal services you provide.
2. **Inform clients in writing at the time of engagement:**
 - they have a right to complain about your services/charges
 - how a complaint can be made and to whom
 - AND
 - they have a right to make a complaint to the Legal Ombudsman and when they can make any such complaint.
3. **If client made a complaint to you, and no resolution to client's satisfaction within 8 weeks, write to them:**
 - Stating their right to complain to the Legal Ombudsman, the time frame and full details of how to contact them
 - AND
 - If a complaint has been brought and your complaints procedure has been exhausted, stating:
 - That you cannot settle the complaint
 - The name and website of an ADR approved body which is competent to deal with the complaint
 - AND
 - Whether you agree to use the scheme of that body.

4. Deal with complaints properly, fairly, and free of charge.

Ongoing obligations:

The above obligations last throughout the retainer. Keep clients informed as the matter progresses, such as if info in the client care letter becomes superseded. – eg. if a costs estimate changed.

Repeat business and client care letters:

If you are carrying out repeat work on agreed terms for an **established client**, it may be inappropriate to provide all the above information each time a new file is opened. Instead, **send annual client care letters and shorter letters once a new matter is opened.**

Contents of a client care letter:

Client's instructions and options:

- Client's objectives
- Explain the issues and their options
- Agree on the next steps
- Agree on level of service/how client will be informed of progress

General information:

- Your responsibilities
- Explain client's responsibilities
- Explain anything which may limit the steps you can take on their behalf – eg. a potential conflict with another client
- AND
- Explain that you may be entitled to a lien (right to retain possession of files) if there are any unpaid costs.

Costs information:

Explain who will be dealing with their matter: name, status, and supervisor.

Complaints:

Explain how they and to whom they can complain if they are unhappy with the service and details of the firm's complaints procedure.

Termination of the retainer:

Good reasons to terminate your retainer with a client:

- You cannot obtain clear instructions – eg. if partners from a two-partner firm give you conflicting instructions.
- No termination would break the law or breach the Codes – eg. conflict of interest.
- Your client has failed to pay its bills. – ie. an interim bill.

You cannot terminate a retainer on grounds of self-interest.

CCF 1.1 Treat your client fairly.

Principles 4 and 5 Act with honesty and integrity.

Principle 7 Act in the best interests of each client.

Terminating on these grounds amounts to repudiatory breach of contract, so you must pay back all the fees already paid.

Example:

Jess Watts from Libro Ltd instructed you and said that she would not instruct you if the firm had a connection with Festive Books. A week later, Anne Festive of Festive Books called you hoping to instruct you on a different matter. You now wish to terminate your retainer with Libro Ltd and act for Festive Books as Festive Books is paying you more.

The firm's proposed termination of Libro Ltd's retainer is motivated by the firm's own commercial interests.

You cannot terminate a retainer on grounds of self-interest.

CCF 1.1 Treat your client fairly.

Principles 4 and 5 Act with honesty and integrity.

Principle 7 Act in the best interests of each client.

You cannot treat Libro Ltd fairly if you terminate the retainer for a more lucrative proposition.

Termination of the retainer on grounds of self-interest is not reasonable and would breach the Code and Principles.

Moreover, it would be a repudiatory breach of contract, so you may need to pay back any fees already paid. You must continue to act for Libro Ltd without taking on Festive Books as a client.

CONFLICTS AND CONFIDENTIALITY

CONFLICT OF INTEREST:

General rule:

You must not act for a client where:

- I. **CCS 6.1 and CCF 6.1** There is an **own interest conflict**.

Own interest conflict = where your duty to act in the best interests of the client conflicts with your own interests. – eg. where you seek to buy a property from client or borrow money from client.

- II. **CCS 6.2 and CCF 6.2** There is a **conflict of interest**.

Conflict of interest = where your separate duties to act in the best interests of two or more clients in relation to the same or related matters conflict. – eg. instructed by opposing parties in litigation.

Significant risk of conflict is enough for conflict of interest to exist.
Unless an exception applies, you must cease acting for client (1 or both).

Exceptions – when can you act?

The exceptions below only apply when there is a client conflict, or significant risk of a **conflict, between two clients**. The exceptions won't apply in case of an own interest conflict.

Exception 1: Substantially Common Interest (SCI):

Eg. when two clients want to instruct you to advise them on a purchase or setting up of a business as partners, or taking out a lease, as joint tenants.

CCS 6.2(a) and CCF 6.2(a) This exception will apply if there is:

- A clear common purpose between the clients. – clients want the deal to succeed.
AND
- A strong consensus on how this is to be achieved. – parties have agreed the key terms of the deal or likely no/little negotiation.

AND

CCS 6.2(b)(i) – (iii) and CCF 6.2(b)(i) – (iii) All of the following apply:

- All clients give informed consent in writing, to you acting.
- If appropriate, you put in place effective safeguards to protect clients' confidential information:
Where there is a conflict of interest, you may not be able to pass info relevant to the matter from one client to another. If there is a risk of this situation arising, do not act for both clients.
- It is reasonable for you to act for all the clients:
Factors:
 - * Knowledge and bargaining power of each client. Is one party vulnerable or in a relatively weak position and should be referred for independent advice? – eg. one client is an individual and the other is a company
 - * The likely extent of negotiations between clients.
 - * Benefits to clients if you act for both clients. – eg. speed, lower cost, specialist knowledge

Example:

A stadium is financed by a secured loan from Bank A and Bank Z. A and Z have agreed that A will rank in priority ahead of Z and the banks have agreed the form of the deed of priority. Z has just instructed you to draft the security documents. You have already received similar instructions from A in this matter. Can you accept Z's instructions?

Potential client conflict as both lenders instruct you in connection with the same matter and lenders will not rank equally against the Borrower.

CCS 6.2 You cannot act for both parties where there is a client conflict or a significant risk of one. – Under the default position, you must decline acting for Z.

Z and A have a clear common purpose, the lending of the money.

As lenders have agreed their respective rankings and the form of the deed of priority, the risk of conflict is low. Also, you would do similar jobs for Z and A in relation to the same part of the transaction and both clients will benefit from the lower cost of instructing only one firm.

As they are both banks, they are sophisticated clients who will understand the risks, you may act if:

- Both clients give written informed consent to you
- You have put in place effective safeguards as to the protection of confidential info
AND
- You are satisfied it is reasonable for you to act.

Exception 2: Clients competing for the same objective (CCSO):

Eg. acting for more than one creditor on the insolvency of a company or acting for different tenderers tendering for the same contract.

Does not apply if clients are on the opposite sides: if they are a Claimant and Defendant in litigation or the Seller and Buyer in a transaction. CCSO exception is rare and will only apply where clients are sophisticated clients.

CCS 6.2(b) and CCF 6.2(b) This exception will apply if:

2 or more clients are **competing for the same objective**, an objective which, if attained by one client, will make it unattainable to the other. – eg. a lender and borrower are not competing for the objective (the property).

Objective = asset, contract, or business opportunity which 2 or more clients seek to acquire/recover through a private auction/offer.

AND

All of the following apply:

- All clients give informed consent in writing, to you acting.
- Where appropriate, you put in place effective safeguards to protect your clients' confidential info
AND
- It is reasonable for you to act for the clients.

Steps to take to avoid conflict:

You must have effective systems and controls in place to enable you to identify and assess potential conflicts of interests.

Conflict search:

- Client name (and its parent or subsidiary companies)
- Client's company number (also for parent company or subsidiaries)
- Name(s) of any counterparties to the matter

CONFIDENTIALITY AND DISCLOSURE:

Duty of confidentiality:

CCS 6.3 and CCF 6.3 You must keep the information and affairs of **client confidential**. This confidentiality continues after the retainer is terminated and extends to the PRs of a client if a client dies.

Exceptions:

- Client consents to disclosure**
OR
- Disclosure is permitted/required by law:**
 - Some statutes empower government and other bodies (HMRC) to require disclosure
 - Statutory/regulatory reporting requirements – eg. those in the Money Laundering Regulations 2017, the Proceeds of Crime Act 2002 and anti-terrorism legislation.
 - You must reveal the info to support a defence in a prosecution or if a negligence claim brought against you by a client.
 - You must reveal to an appropriate authority if:
 - You discover that a child has been sexually or physically abused.
OR
 - You believe that the child's health (mental or physical) is in danger.

Duty of disclosure:

CCS 6.4 and CCF 6.4 Solicitors have a **personal duty to disclose to client all information which is material to their matter**. The duty does not extend to information of which others in the firm may be aware.

Material = information which might reasonably be expected to significantly affect the client's decision-making with regard to their matter.

The duty of confidentiality to another current or former client (A) might prevent solicitors from disclosing material info that they obtained in relation to A's case to a new client (B).

Stop acting for B unless you obtain B's informed consent.

Exceptions:

- (a) the disclosure is prohibited by legal restrictions imposed in the interests of national security or the prevention of crime.
- (b) **the client gives informed consent** in writing, **to the information not being disclosed to them.**
- (c) The solicitor has reason to believe that serious physical or mental injury will be caused to the client or another if the information is disclosed.
OR
- (d) The information is contained in a privileged document that the solicitor has knowledge of only because it has been mistakenly disclosed.

Conflict between confidentiality and disclosure:

You may also owe a duty of confidentiality to another client in respect of the same information.

Where there is a conflict between the duties of confidentiality and disclosure, confidentiality takes precedence.

However, you cannot rely on a duty of confidentiality to excuse a failure to disclose material information.

In this case, you must:

- (a) Renegotiate the terms of the retainer with the client, so they know you have information, but you cannot reveal it; or
- (b) **You should refuse to act for the client if you have not already started acting or cease to act if you have.**

Adverse interests and confidential information:

Client A wishes to instruct you for advice in relation to a dispute over a lease that he has taken from B. The search of X and Co's database reveals that another employee of your firm gave B some advice on the lease in relation to a dispute with A last year. Your firm is no longer acting for B.

You do not act for a client where that client has an interest adverse to the interest of another current or former **client of you** or your firm, for whom you or your firm holds confidential info which is material to that matter, **unless 6.5(a) or (b) applies.**

Adverse interest = where one party is, or is likely to become, the opposing party on a matter, whether in negotiations or some form of dispute resolution.

Two exceptions: CCS 6.5(a)-(b) and CCF 6.5 (a)-(b)

- (a) **Effective measures have been taken which result in there being no real risk of disclosure of the confidential information:**
– eg. setting up an information barrier, high standard

Factors:

- Burden is on the firm to show that there is no real risk that the info will come into the possession of those acting for the other party
- Information barriers means an established system that should not rely on individuals
- Information barriers between departments will likely pass the test, but not barriers within one team

Effective measures examples:

- Systems identifying potential confidentiality issues
- Separate departments handling the cases
- Info held on separate servers
- Info is encrypted and password protected
- Individuals being aware of the information barrier
- Policies and training for staff

- (b) **The current/former client, whose information you hold gives informed consent in writing, to you acting, including to the protective measures.**

If the firm puts in measures to protect the client's information, someone else in the firm must seek that consent, as you will be unable to do so without disclosing the client's confidential info.

If the info is not material but there is an adverse interest?

You can continue acting for client, if you comply with 6.5(a) or (b).

If someone else in the firm holds info likely material to my client?

Solicitors have no duty to find out if anyone else in the firm has info which might be material to client's matter, but **good practice to check for client conflict.** This may reveal that others in the firm may have material confidential info. If so, it may not be reasonable for you to continue acting.

CRIMINAL CONDUCT ISSUES

Relevant code: Code of Conduct for Solicitors (CCS)

Refuse/cease to act by giving reasonable notice if:

- * Acting would involve you in a breach of the law/breach of professional conduct rules.
- * There is a breakdown in confidence between you and client OR
- * You are unable to obtain proper instructions.

Exam Structure – Conduct Issues:

1. Identify the **Issue** – this will determine if you can act for the client such as misleading the court or conflict of interest.
2. State the relevant **Principles** – only state the ones that apply.
3. Identify the relevant **CCS** to be achieved
4. **Discuss** and apply CCS to the facts.

Select the relevant Issue – you may have more than one:

1. Duty to the client
2. Duty to the court
3. Conflict of interest and confidentiality – interlinked
4. Third party instructions

DUTY TO THE CLIENT:

Solicitors can decide whether or not to take on a client provided that they do not unlawfully discriminate.

You must:

- Give clients competent advice in a timely manner.
- Advise on any plea, costs, and other implications.
- Advise your client of the likely costs at the outset.
- Explain to the client how the complaints procedure works.

DUTY TO THE COURT: *POPULAR EXAM Q*

Issue:

Whether acting on client's instructions would amount to misleading the court.

Principles:

Principle 1 Uphold the law and the proper administration of justice.

Principle 2 Act in a way that maintains the public trust.

Principle 5 Act with integrity.

Principle 7 Act in your client's best interests.

Inform your client when your duty to the court overrides your obligations to the client. – eg. If client instructs you to withhold evidence which must be disclosed.

CCS:

You must:

Not deceive or knowingly/recklessly mislead the court.

Not be complicit in another person deceiving/misleading court.
Keep the affairs of clients confidential.

Not a breach of the Code if the solicitor interviews and takes statements from a witness or prospective witness.



However you must not:

Make a payment to a witness where payment is dependent on their evidence or the outcome of the case.
Put forward arguments to the court that are not properly arguable.
Fail to comply with court orders.
Place yourself in contempt of court.

You might mislead the court if:

- You submit inaccurate information to the court by:
 1. Lying – eg. say that client is a man of unblemished character, but he has previous convictions.
 2. Agreeing with information which you know is false.
- You call a witness whose evidence you know is untrue.
- You do not immediately disclose a document, which you have become aware of, that it should previously have been disclosed.
- You misuse/tamper with evidence or attempt to do so.
- You try to influence witness evidence when taking a statement or try to persuade a witness to change their evidence.
- You do not draw to the court's attention relevant cases/statute/procedural irregularities which you are aware and likely to have a material effect on the outcome of the case.
- You waste the court's time.

Practical Examples:

1. The solicitor inadvertently misled the court.

This is not a breach of the Code. However, you must get your client's consent and immediately inform the court about this as soon as you become aware of it.

If the client does not consent – stop acting.

2. Client tells you: 'I did steal the bike, but I will plead not guilty.' OR tells you: 'I am innocent, but I will plead guilty.'

You can act for the client, but you must not be complicit in them misleading the court.

You **must not make any false submissions** to the court.

3. Client tells you: 'I did steal the bike, but I will remain silent.'

Client is entitled to remain silent and put the prosecution to proof.

P(7) This will be in the client's best interest if the evidence is weak.

D cannot assert their innocence in the proceedings/ police interview, nor can you do so without misleading the court. **You can continue to act if D remains silent.**

4. Client tells you: 'I did steal the bike, but I am going to say I found the bike in front of my house.'

You cannot allow the client to lie to the court/police interview.

– you are not in breach of the Code if you did not know they were going to lie.

If they insist that they are going to lie, then **you cannot continue to act** to avoid breaching **P(1) and P(2)**.

If you must withdraw, keep the affairs of your client confidential.

5. Client tells you: 'My previous convictions are incomplete as they do not include a recent conviction. Please point out to the court that I have been out of trouble for over a year.'

OR

Client tells you: 'My mother will provide me a false alibi.'

You can act for client provided you are not complicit in them misleading the court. – you cannot comply with the client's instructions.

You would be breaching **P(1) and P(2)**.

Although it would be in client's best interests to lie under **P(7)**, if two principles conflict, the one which takes precedence is the one which best serves the public interest.

You are **unable to disclose** the relevant conviction to the court **without the client's consent.** – **Get client's consent.**

If client does not consent:

The decision to withdraw rests with you.



Continue to act, however you will be greatly limited:

- You cannot advance a positive case for your client – eg. that your client was out of trouble for a year.
- If the court were to ask you a question you must tell them the truth.

If you decide to stop acting:

- Do not disclose the confidential info.
- Tell the court that your professional duties prevent your continuing to act.

Explain these limitations to client.

CONFLICT OF INTEREST AND CONFIDENTIALITY:

Issue:

There may be a conflict of interest between the parties. This will also involve issues of confidentiality and disclosure.

Principles:

P(5) Act with integrity.

P(7) Act in our client's best interests.

CCS:

Conflict of interest:

You cannot act where there is a conflict or a significant risk of conflict.

– You can act if risk is not significant.

Two types of conflict: *Select which one applies*

1. **Own interest conflict** – If your own interest conflicts with the interest of the client. **In this case, do not act.**
2. **Client conflict** – If there is a conflict between clients, you cannot act for either one of them.

Examples:

- * If one client blames the other for the crime
- * If one client says both of them were involved and the other client denies involvement.

If, during the course of proceedings, a conflict of interest arises between clients, only continue to act for one client.

Disclosure and Confidentiality:

You must keep the affairs of clients/former clients **confidential** except where disclosure is required or permitted by law/client.

You must disclose all **material information** to your client and make sure that the client understands the information.

Where confidentiality to one client comes into conflict with your duty of disclosure to another client, confidentiality takes precedence.

Solicitor has no duty to disclose information that may be negative unless the client is to give evidence that is untrue/misleading.

The duty of confidentiality lasts forever.

Co-defendants:

Only act if both clients tell the same story and clients have a **substantially common interest** in relation to the matter **and both clients give informed consent** for you acting.

Before obtaining your clients' written consent, you must bring all relevant issues to clients' attention and have a reasonable belief that clients understand these issues.

Practical Examples:

1. **Jack and Jill are arrested for robbery as co-defendants. You have a private consultation with Jill who tells you that both of them were involved. You then have a private consultation with Jack who denies involvement.**

Can you act for Jack?

P(7) Ask whether you can act in the best interests of each client. You cannot act if there is a client conflict. Here, Jill has implicated Jack while Jack denies involvement. If there is a conflict between clients, you cannot act for either one of them.

P(7) You cannot act for Jack as you are unable to act in both Jill's and Jack's best interests.

You cannot tell Jack what Jill has said as we owe Jill a duty of confidentiality and cannot tell Jack without Jill's consent. Advise Jack to seek representation from another firm.

Can you continue to act for Jill?

You now have:

- * Information from Jack – **he denies all involvement.**
- * Which is material to Jill's case – **Jill says she carried out the robbery with Jack.**

You have a duty to disclose this to Jill.

You also have a duty of confidentiality to Jack, which continues even though you no longer act for him. Confidentiality overrides disclosure and lasts forever.

P(7) You cannot act for Jack and now you are also unable to act in Jill's best interests as you are unable to disclose material information to her.

Cease to act for both.

Always ask each client before taking instructions whether there might be a conflict. This would have enabled us to act for Jill.

2. **Ron has been arrested for ABH on his girlfriend, Sophie. You have your consultation with Ron and he denies the assault. He says that Sophie lied to the police. Later on, you discover that Sophie instructed your firm months ago, relating to an allegation against her then boyfriend, which she withdrew.**

Can you continue to act for Ron?

You have taken instructions from Ron who has accused his girlfriend of lying.

You have now discovered that Sophie previously withdrew an allegation.

This info is material to Ron's case and should be disclosed to him. You cannot do so without Sophie's consent because of your duty of confidentiality to her.

P(7) You thus cannot act in Ron's best interests and **must cease to act** as there is a conflict between your duties to each client.

3. **Jim, aged 32 years, has been arrested together with his co-habiting girlfriend, Trisha aged 18 years. Jim says, 'When you see Trisha, tell her I said that she should go for self-defence.'**

Should you act for Trisha?

We cannot act if there is a **significant risk of a conflict**. Jim's request that you pass on this message to his girlfriend raises a conflict of interest. **You cannot act for Trisha.**

In cases where there is inequality between the parties and there is an indication of influence, stop acting. – **Here, Jim is 14 years older than Trisha and they live together.**

P(7) If convicted, Trisha might blame Jim for involving her which would be contrary to Jim's interests. Also, Jim could be trying to get Trisha to concoct a defence.

Acting for Trisha amount to:

- * Misleading the court
- * **P(1) P(5)** You would not be acting with integrity or upholding the administration of justice.
- * In addition to acting, passing on such a message, might also result in you committing a criminal offence.

4. **Client tells his solicitor that he is not going to attend his trial.**
This is covered by legal professional privilege and cannot be disclosed without client's consent. Advise D that the trial may go ahead in their absence.
5. **Can a court force a solicitor to reveal confidential information?**
Yes, some matters that are confidential may be disclosed following an order from the court. Confidential information may be disclosed by court order, while privilege is absolute.

THIRD PARTY INSTRUCTIONS:

Issue:

Whether acting on third party instructions would ensure that you are acting in the client's best interest and whether you can keep client's information confidential.

Principles:

P(1) Uphold the law and the proper administration of justice. – **Access to a solicitor cannot be delayed on grounds that the solicitor was instructed by third party.**

P(7) Act in our client's best interests.

CCS:

You must keep the affairs of clients/former clients confidential except where disclosure is required/permitted by law or by client.

Where instructed by third party, you cannot act unless you check that the instructing person has authority to do so on behalf of the client. – **Especially true if client is disabled/blind and thus vulnerable.**

MAINTAINING TRUST AND DISPUTE RESOLUTION

MAINTAINING TRUST AND ACTING FAIRLY:

CCS 1.1 and CCF 1.1 Do not unfairly discriminate by allowing your personal views to affect your professional relationships and your work.
CCS 1.2 and CCF 1.2 Do not abuse your position by taking advantage of clients or others.

Undertakings:

Undertaking = a promise that you or a third party will do/not do something or cause something to be done. The word 'undertaking' need not be included in the statement to amount to an undertaking.

An undertaking can be given by solicitors, junior or unqualified staff, secretaries, and trainee solicitors.

Undertakings are specifically enforceable. The right to enforce an undertaking is taken against the firm and not the firm's client.

Examples of 'everyday' undertakings:

- Undertaking by seller's solicitor in a property transaction to forward part of the sale proceeds to discharge the seller's mortgage on the property
- Undertaking to the court that a document will be filed on behalf of a client by a given date
- Undertaking to hold money to another firm's order prior to the occurrence of a specific event

Form of Undertakings: *SMART*

- **S**pecific: be clear as to what is involved – ambiguity in an undertaking will be construed in favour of the recipient.
- **M**easured: it must be capable of quantification
- **A**greed: both sides must agree the wording
- **R**ealistic: within solicitor's control – **Never promise something which is outside your control.**
- **T**imed: must not be of unlimited duration

Standard rules:

You must perform all of your undertakings within the agreed timescale or if no timescale, within a reasonable time.

Failure to do so is a serious disciplinary offence, and SRA will likely investigate the solicitor for professional misconduct.

Advice to law firms:

- Record when undertakings have been given and discharged
- Set up procedures to procure that undertakings are complied with

COOPERATION AND ACCOUNTABILITY:

CCS 7 and CCF 3 You must meet the standards of cooperation and accountability:

- Keep yourself updated with the changes in law governing the way you work and follow the rules.
- Cooperate with the SRA, Legal Ombudsman and other legal services bodies/regulators.
- Be honest with clients if things go wrong, aim to put matters right and explain promptly what happened and the likely impact.
- **If the SRA requests:**
 - Take remedial action promptly.
 - Show that you complied with your SRA rules by being able to justify your decisions/actions.
 - Investigate if anyone may have a claim against you, prepare a report to the SRA, and notify relevant persons that they may have a claim.

Obligations regarding the provision of information:

- Full and accurate explanations, info and docs are to be provided in response to an SRA request.
- Info is to be available to the SRA for inspection.
- Neither solicitors nor Firms are to attempt to prevent anyone from providing information to the SRA.
- **Keep SRA up to date:**
 - With criminal charges
 - With financial difficulty indicators, firm insolvency events, if the Firm will cease operating as a legal business and of any change to info in the register.
 - Prompt report must be made to SRA if there is a serious breach of the rules, and if instructed to do so a solicitor or Firm must investigate these serious breaches.
 - An info report must be provided to SRA on an annual basis (or whatever period the SRA specifies) **in the prescribed form.**

DISPUTE RESOLUTION, PROCEEDINGS, INQUIRIES:

Solicitors Act 1974 A solicitor is an officer of the court.

These rules also apply to Firms.

Do not waste the court's time.

CCS 2.5 Do not place yourself in contempt of court.

CCS 2.4 Only make assertions, statements, representations or submissions to the court which are properly arguable.

CCS 1.4 and CCF 1.4 Do not to mislead/attempt to mislead the court:

- You are not guilty of misconduct if misled the court inadvertently. If you become aware that you had inadvertently misled the court, you must, with client's consent, immediately inform the court. If the client does not consent, stop acting.
- If you become aware that a **client committed perjury/misled the court** or attempted to do so, cease to act unless client agreed to disclose the truth to court.

How might you mislead the court?

- Draft documents/construct facts supporting your client's case which are not properly arguable.
- Make any allegation of crime/misconduct/fraud unless it is material to your client's case and done on reasonable grounds
- You call a witness whose evidence you know is untrue.

Other important standards:

These rules also apply to Firms.

- You must not misuse/tamper with evidence or attempt to do so.
- You must not influence evidence, including generating false evidence or persuading witnesses to change their evidence.
- You will not breach the Codes if you interview and take statements from any (prospective/actual) witness, even if that witness has been interviewed or called by another party. However, you must not provide or offer to provide any benefit to witnesses (including payments) if the benefit is dependent on the nature of the evidence or the outcome of the case.

COMPLIANCE WITH BUSINESS SYSTEMS:

Firms must have effective governance structures, arrangements, systems, and controls in place that ensure:

- (a) You comply with SRA's regulatory arrangements, as well as with other regulatory/legislative requirements, which apply to you.
- (b) Your managers and employees comply with the SRA's regulatory arrangements which apply to them.
- (c) Your managers, interest holders, employees or those you contract with do not cause/substantially contribute to a breach of the SRA's arrangement regulations by you or your managers or employees.
- (d) Your compliance officers are able to discharge their duties.

Keep and maintain records showing compliance with your obligations under the SRA's regulatory arrangements.

Remain accountable for compliance with the SRA's regulatory arrangements where your work is carried out through others, including your managers and those you work with.

Actively monitor your financial stability and business viability. Effect the wind-down of your activities, if needed.

Identify, monitor, and manage all material risks to your business, including those arising from any connected practices.

MISLEADING STATEMENTS AND IMPRESSIONS:

Further criminal offences:

1. Making a statement, promise or forecast which you know to be false or misleading in a material respect
2. Recklessly making a misleading statement
3. Dishonestly concealing a material fact
AND
4. Engaging in a course of conduct which creates a false or misleading impression.

The conduct must be carried out for purpose of inducing another to take action, or to refrain from taking action, in relation to an investment.

INSIDER DEALING:

Criminal Justice Act 1993 Insider dealing is a criminal offence.

Insider dealing = dealing in price-affected securities based on inside information. – eg. buying shares while receiving information from an inside source such as a director that the company is about to enter into a lucrative contract.

BUSINESS MANAGEMENT OF A LAW FIRM

In these notes, references to law firms mean authorised bodies, bodies authorised to operate as law firms by the SRA.

KEY RULES:

There are rules relating to how law firms are run as authorised bodies.

CCS 7.7 You must report any fact or matter you reasonably believe to amount to a serious breach of the Codes to the SRA.

CCS 7.12 You will satisfy this obligation if you report the matter to your firm's COLP or COFA.

Key requirements:

- * Purchase and keep **indemnity insurance**.
- * Keep proper **records and accounts**.
- * Complete **annual returns**.
- * Suitably **monitor the business**.

The firm and its staff members must comply with:

1. Their **legal duties and duties under the Code**. The managers remain responsible for the actions of their staff.
2. The **MLR 2017**
3. The SRA's regulatory requirements. – **CCS 5.5-5.6**
4. The standards required in the Codes of Conduct.
5. The rules relating to monitoring, reporting, and publishing workforce diversity data. – **CCF 1.5**

The firm and its staff members must also:

- * Renew the firm's **indemnity insurance** when necessary.
- * Renew **practising certificates** when necessary.
- * Submit the relevant Accountant's Reports as per the **SRA Accounts Rules 2019**
- * **Identify conflicts of interests** – **CCS 6.1-6.2 and CCF 6.1-6.2**
- * Have a framework to control **undertakings** – eg. by ensuring all undertakings are confirmed in writing and by ensuring only partners give non-regular undertakings.
- * **Safekeep** all assets and documents – eg. by having systems in place allowing the owner of documents to be easily identified and the matter to which the documents belong.
- * **Train individuals** to keep staff members competent.
- * Maintain **financial control** of budgets, spending and cash flow.
- * Have a framework to **protect client money** and assets.

No form set out for these systems, but SRA will require evidence to demonstrate that appropriate arrangements are in place.

BUSINESS LETTERHEADS/EMAILS:

para 4.2 SRA Transparency Rules List of **essential information that must be presented** in a law firm's **email and letterhead**:

- * The firm's SRA authorisation number
AND
- * The following text: "authorised and regulated by the Solicitors Regulation Authority". – **any changes in the text will mean non-compliance**.

para 4.2 SRA Transparency Rules If the law firm is an **LLP**, the law firm's **letterhead must also include** the LLP's registered **name and number**.

REFERRALS AND INTRODUCTIONS:

What are referrals and introductions?

Referrals:

Referral = when you refer a client to a third party.

If you have a client that **needs another professional/body** dealing with their matter, you can refer them to that other professional. – eg. If you have a client that needs the help of an accountant, you could refer them to an accountant you know.

Examples of professionals/bodies:

- * Accountants
- * Financial advisors
- * Estate agents
- * Insurance advisors

Introductions:

This also works the other way round; **you might be introduced a client** to carry out legal work for them.

Introduction = when a third party introduced a client to you. – eg. If a client goes to an estate agent who then introduces you to the client to carry out the conveyancing work for them.

Payment:

In relation to both referrals and introductions, either the solicitor or the third party is going to be paying a **referral fee to the other professional** for the referral/introduction. This relationship is governed by a **Referral agreement**.

Key rules – applicable to referrals, introductions and fee-sharing:

Due to the **financial interest** that underpins this relationship between the two professionals, **the SRA has laid out rules** to govern how referrals and introductions must be handled.

CCS 5 If you refer your client to third parties or if you get work through or from third parties, **you must ensure that your independence is protected and that you are acting in the best interests of your client**.

Example 1:

You cannot be advising your client to go back and see further advice from yet another professional or the previous professional, even if this would be profitable for you as you would get your referral fee.

Example 2:

You also cannot advise your client to seek the advice of Mr Patel, a financial advisor, when you know that he might not be the best person to act for your client in this matter. You might be tempted to advise them to see Mr Patel, if you have a Referral agreement with him, but this would be a breach of the rules.

Example 3:

If you have worked with accountants over the years, you will have learned that each of them will have their strengths and weaknesses. You cannot advise your client to seek the help of one particular accountant only because that accountant pays you the highest fees on referral. You must refer them to the one that has the right skillset to deal with the client's matter.

These rules are relevant if:

1. **You refer** the client to someone else (Introducer = you).
2. **Someone else introduces** the client to you (Introducer = third party).
OR
3. **You share the fees** collected from a client with someone else.

CCS 5.1 In relation to client referrals/introductions, **you must inform** the client **that you have an interest** in sending them to this particular person **or** the person who sent them to you had an interest in doing so.

This is typically the **financial interest** being paid to/by the introducer. – however, the interest **need not be financial**.

Examples of non-financial interests:

1. Referring the client to a firm which you own a share in.
2. Referring the client to one of your family members or your partner.

You can still refer the client in these cases and accept introductions, but you **must inform the client of this interest**. The client can decide whether to work with you or go elsewhere.

Criminal matters only:

You must not receive/make payments relating to a referral in relation to criminal proceedings. – eg. paying police officers £100 in referral fees for each arrest would be contrary to the proper administration of justice.

This is the case even if there is no agreement in place for referrals and you have received payment after taking on a client.

Personal injury matters only:

Legal Aid, Sentencing and Punishment of Offenders Act 2012 You **cannot pay/receive referral fees** in relation to any work you do on damages claims for personal injury or death.

It is irrelevant whether these **fees are called** referral fees or **something else**, as long as the fee is received as consideration for a referral. – eg. "marketing fees" or other fees.

This is prohibited by law and not only the code of conduct.

Fee sharing agreements – additional rules:

If you have a fee sharing agreement in place with another professional, you **must also** make sure that you **comply with the following rules**.

Fee sharing agreement = an agreement where the solicitor and a third party professional **agree to share the fees paid for a matter**.

You must: CCS 5.1

1. **Inform** the client of any **fee sharing agreements in place** that are relevant to their matter.
2. Ensure that any fee sharing agreements are **in writing**.

ADVERTISEMENTS:

When advertising your services, you must:

- * Comply with statutory requirements – eg. Consumer Credit legislation.
- AND
- * Have regard to the Advertising Codes of Practice.

CCS 8.8 You **cannot mislead in your publicity**, and publicity in relation to your practice must be accurate and not misleading, including your charges and when interest is payable by or to clients.

Publicity includes any kind of promotional material/activity:

- * The name/description of the firm
- * Stationery
- * Ads – TV, online or paper form
- * Brochures
- * Websites
- * Directory entries
- * Any media appearances and promotional press releases – **but this does not include press releases prepared for the client as part of the work carried out for them.**
- * Approaches to potential clients/others – in person, online, in writing or other electronic way

CCS 8.9 You cannot make unsolicited visits or cold call potential clients.

MANAGERS/EMPLOYEES:

Managers and employees practising as solicitors:

COLP must ensure that only persons who are qualified to act as solicitors actually do so.

s.1 Solicitors Act 1974 No person shall act as a solicitor unless:

1. He/she has been admitted as a solicitor
2. His/her name is on the roll
- AND
3. He/she has a valid practising certificate.

Undertaking **reserved legal activities** without a practising certificate is an **offence** if you hold yourself out as a solicitor when doing so.

Continuing Competence:

Solicitors must ensure that they remain competent to comply with **CCS 3.3**.

The SRA requires solicitors to reflect on their practice, to undertake regular learning and development so their skills and knowledge remain up to date, and to record and evaluate their learning and development activity.